

Step-by-Step Daily Blueprint to Choose High-Profit Stocks

THE DEFINITIVE CONFIRMED ENTRY PROTOCOL ACCORDING TO OUR APP (NEPAL CONTEXT)

This institutional guide outlines the exact, repeatable methodology used by the **Drabyashree NEPSE PRO** Application to identify high-probability swing and momentum trades in Nepal. By synthesizing **Benjamin Graham's Margin of Safety**, **Mark Minervini's Stage 2 Trend Template**, **Richard Wyckoff's Microstructure Absorption**, and our proprietary **Step 4 Smart Money Broker Flow Audit**, traders can systematically capture profitable moves while avoiding retail distribution traps and catastrophic lower-circuit lock-ins.

THE 3 CRITICAL REALITIES OF TRADING IN NEPSE:

- **Statutory Circuit Volatility (±15%):** Under SEBON's Fourth Amendment Bylaws 2082, daily price limits are ±15%. A single bad trade can erase 15% in a day if caught in a limit-down waterfall.
- **T+2 Delivery Asymmetry:** Shares purchased today cannot be exited until T+2 settlement. Chasing Day 2 or Day 3 momentum carries extreme risk of lower-circuit lock-in.
- **Broker Concentration:** NEPSE is dominated by 5 to 7 powerhouse broker houses. Chasing green candles when top brokers are dumping guarantees retail bag-holding.

1. The Master 6-Point Confirmed Entry Matrix

Before executing any buy order in NEPSE, all 6 gates must turn **GREEN** inside the app:

Checkpoint	Target Metric in App	Confirmation Rule	Hard Reject Trigger
1. Setup Stance	Action / Stance Banner	Must be STRONG BUY or ACCUMULATE ON PULLBACK	REJECT if 'HOLD / DO NOT CHASE' or 'AVOID'
2. Setup Score	Setup Score Card	Score ≥ 70 / 100 with HIGH confidence rating	REJECT if score < 65 or bearish consensus
3. Entry Price	Entry Risk Card	LTP is strictly within [Entry Zone] and below Chase Cap	REJECT if LTP > Chase Cap (+2.5% over pivot)
4. Smart Money	Step 4 Broker Card	Top 3 Brokers account for > 40% of Buy Volume (BCR3)	REJECT if Top Brokers are net distributing
5. Trap Monitor	Radar / Step 4 Card	NO Distribution Trap Alert (Selling into green)	REJECT if 'Distribution Trap: Do Not Buy' fires
6. Risk : Reward	Multi-Horizon Targets	Minimum 2.5 : 1 Net R:R (Stop-Loss strictly ≤ 4.5% - 5.5%)	REJECT if Stop-Loss > 7% or R:R < 2.0:1

2. Pillar 1: Fundamental Safety & Graham Valuation Gate

Speculative bubbles in NEPSE frequently collapse by 40%–60%. To safeguard trading capital, apply Benjamin Graham's intrinsic safety screen before taking any swing position:

Fundamental Factor	Institutional Standard	Quantitative Formula & Practical Application
Earnings Per Share (EPS)	$EPS > \text{Rs. } 15.00$	Must be positive and operationally profitable. Never trade negative-EPS companies on unverified social media rumors.
Price-to-Earnings (P/E)	$P/E \leq 25x - 30x$	Ceiling multiple for NEPSE equities. $P/E > 40x$ carries severe multiple contraction downside during general market pullbacks.
Benjamin Graham Intrinsic (V^*)	$V^* \geq \text{Current LTP}$	$V^* = \sqrt{(22.5 \times EPS \times BVPS)}$. Measures tangible asset and earnings backing. Safety Margin = $(V^* - LTP) / LTP$.
P/E × P/B Multiple	≤ 22.5 Maximum	Graham's product test. If P/E is 40x and P/B is 9.2x, the product is 368x (>16 times the prudent limit), indicating extreme froth.
Piotroski F-Score	Score $\geq 5 / 9$	Evaluates 9 financial health dimensions: profitability, leverage, liquidity, and operational efficiency.
Promoter Lock-in Expiry	No Unlocks < 30 Days	Check the 3-year statutory lock-in expiry date under Corporate Actions to avoid massive insider supply dumps hitting the market.

3. Pillar 2: Technical Trend Structure & Volume Expansion

A healthy company in a structural downtrend will still destroy portfolio equity. Only trade securities in confirmed Stage 2 uptrend regimes:

- **Minervini Stage 2 Uptrend:** Price must be comfortably above both the 50-day SMA and the 200-day SMA, with the 50-day SMA sloping upward above the 200-day SMA.
- **Relative Volume Surge ($RVOL \geq 1.5x - 2.5x$):** Institutional breakouts require huge capital commitment. RVOL compares today's volume to the 50-day average. Breakouts on $RVOL < 1.0x$ are low-liquidity retail bull traps.
- **Volatility Contraction Pattern (VCP):** Look for successive contracting price consolidations (e.g. -14% → -7% → -3%) with drying volume prior to the breakout pivot.
- **Proximity to 20-day EMA:** Never chase an asset that is extended > 10% - 12% above its 20-day EMA. Wait for a low-volume retest of support.

KEY TECHNICAL RULE: A breakout with low volume ($< 1.0x$ RVOL) is a retail trap. Always confirm that volume expands by at least 1.5x to 3.0x on the breakout day, confirming institutional sponsorship.

4. Pillar 3: Step 4 Smart Money Broker Flow Audit (Radar Tab)

NEPSE is a broker-centric order market where 5 to 7 major broker houses (e.g., #58 Naasa, #45 Imperial, #34 Vision, #29 Trisul) drive major directional moves. Our app provides direct, easy-glance verification via two non-negotiable rules:

[RULE A] INSTITUTIONAL ACCUMULATION (>40% BUY SHARE) Top 3 brokers account for > 40% of all buy volume (BCR3) in concentrated large blocks, while selling is fragmented across dozens of retail brokers. • Average buy ticket size is significantly larger than sell ticket size ($\geq 1.4\times$). • Large buy orders hit the ask without letting price retrace. • Confirms systematic institutional accumulation prior to markup.	[RULE B] DISTRIBUTION TRAP WARNING (DO NOT BUY!) If top brokers are net selling (dumping shares) into retail excitement or into green price action, DO NOT BUY, even if the chart looks green or circuit-seeking. • High turnover churning at peak resistance. • Retail buying heavily while top 3 brokers unload inventory. • App triggers: 'Distribution Trap: Do Not Buy'.
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5. Pillar 4: Risk-Reward Geometry & NEPSE Statutory Frictions

Profitability in NEPSE requires rigorous accounting for real-world transaction friction and tax liabilities:

Friction / Statutory Factor	Statutory Rate	Impact on Net Profit & Trading Plan
SEBON Broker Commission	0.36% – 0.40%	Applied each way on gross traded value (approx. 0.72% - 0.75% round-trip friction).
SEBON Regulatory Fee	0.015%	Applied on both buy and sell transactions (0.030% round-trip).
Final Capital Gains Tax (CGT)	10.0% Final Tax	Mandated under Finance Act 2083 on net realized profit for individual holdings < 365 days. The app computes targets net of 10% CGT .
SEBON Daily Circuit Limits	$\pm 15\%$ Daily Band	Fourth Amendment Bylaws 2082. Replaces old 10% bands. Expanded daily volatility requires strict stop-loss adherence.
T+2 Settlement Delivery Lock	2 Working Days	Purchased shares cannot be sold until T+2 settlement. Chasing Day 2+ momentum runs the catastrophic risk of lower-circuit lock-ins.

6. Case Study: Live App Audit of HDL (Himalayan Distillery Ltd)

Applying the exact 5-pillar blueprint to the real-time telemetry captured in the app for HDL (LTP: Rs. 1,312):

Pillar / Checkpoint	HDL App Metric	Institutional Diagnosis	Verdict
Pillar 1: Valuation	P/E: 40.11x P/E × P/B: 372.2 Graham V*: Rs. 322.63	Margin of Safety Deficit: -306.6%. Trades at 4x its intrinsic book valuation. Piotroski score is only 4/9.	FAIL Extreme Multiple
Pillar 2: Technicals	Price: Rs. 1,312 50 SMA: Rs. 1,285.8 RVOL: 4.39x Surge	Above 50 & 200 SMA. Turnover of Rs. 35.17 Cr confirms huge volume expansion. However, extended +12.4% over 30 days.	PASS Strong Trend
Pillar 3: Smart Money	BCR3: 57.5% (>40%) Broker #58: +16,867 Net Inst: +10,544 kitta	Top 3 brokers (#58 Naasa, #29 Trisul, #57 Aryatara) cornered 57.5% of buy volume. Completely absorbed sellers #45 and #20.	PASS Inst. Accumulation
Pillar 4: Risk / Reward	R:R Ratio: 1.71 : 1 Target 1: Rs. 1,390.7 Stop Floor: Rs. 1,266.1	Upside to Resistance 1 is only +4.7% net, while risk to support floor is -3.5%. R:R ratio is below the 2.5:1 institutional threshold.	CAUTION Sub-optimal R:R
Pillar 5: Win Rate	Analog Win Rate: 31.3% Stance: HOLD / DO NOT CHASE	Historical backtests show chasing high-P/E breakouts near 52-week resistance fails 68.7% of the time.	DO NOT CHASE

HDL ACTIONABLE VERDICT FOR MAXIMUM PROFIT:

- **Existing Holders:** HOLD with a strict trailing stop at **Rs. 1,266.1** (-3.5%). Partial profit take at Rs. 1,390.
- **Fresh Capital Buyers:** **DO NOT CHASE at Rs. 1,312.** Wait for a low-volume pullback into the 50-day SMA support zone at **Rs. 1,265 – Rs. 1,285** with a stop at Rs. 1,240. This expands your Risk:Reward ratio from 1.71:1 to **> 3.2:1**.

7. The 10-Second Daily Routine to Screen for Profit

To save time and trade with maximum discipline every trading morning (11:00 AM – 3:00 PM):

Step 1 — Open 'Broker Flow Dominance': Click the **[Institutional Accumulation >40%]** filter pill. This immediately filters out 95% of retail noise and presents only stocks where top 3 brokers are absorbing supply in large blocks.

Step 2 — Verify 'Day Prime Pick' / Guru Screener: Select the highest-ranked candidate with a **Setup Score ≥ 70** and a verdict of **STRONG BUY**.

Step 3 — Inspect 'Entry / Exit Analyzer': Check that the current price is strictly inside the **Entry Zone** and below the **Chase Cap**.

Step 4 — Verify Step 4 Broker Flow Card: Ensure the card displays **INSTITUTIONAL ACCUMULATION CONFIRMED** and confirms **NO Distribution Trap**.

Step 5 — Check Stop-Loss & Net Targets: Ensure the logical stop-loss is ≤ 4.5% - 5.0% and Net Target 1 (after 10% CGT) yields at least +8% to +12%.

Step 6 — Execute Order: Place your order on TMS within the defined Entry Zone and immediately record your stop-loss floor.

***Risk Disclaimer:** Equity trading on the Nepal Stock Exchange (NEPSE) involves substantial market risk. Past performance is no guarantee of future returns. This blueprint provides a disciplined, rule-based quantitative framework to maximize risk-adjusted probabilities and minimize capital drawdowns. Always adhere strictly to statutory circuit limits (±15%) and risk management protocols.*